

Lifting All the Boats: The Global Market Prescription



AP Photo/Eugene Hoshiko

A Chinese couple stands at a river front park back-dropped by Chinese and foreign advertisements. China formally joined the WTO on 12/11/01, triggering changes that promise more choices for consumers, opportunity for foreign investors and challenges for Chinese farms and factories.

In his book, *In a Sunburned Country*, Bill Bryson describes a journey that he took through the Australian outback. After a drive of more than 1,000 miles through mainly emptiness, he reached Alice Springs, one of the more remote towns on the continent. It turned out to be “Anywhere, Planet Earth.” On the way into town he passed McDonald’s and Kentucky Fried Chicken. And when he looked out of his motel window to watch the sun set on the desert, he saw a Kmart shopping plaza.

This is the point of departure for a third approach to America’s role in the world. It begins with a different understanding of America’s strength and needs. To advocates of this view, what will be most important is not our military dominance but the ability to play a leading role in a complex global game, the international economy. They say the most promising way to bring stability and a greater degree of harmony to the world in this twenty-first century is to expand the global marketplace.

Global stability and well-being over the next generation, from this perspective, depend less on promoting democratic regimes than on raising the world’s standard of living. Persistent poverty in developing nations is a cause of much of the unrest that affects Americans, say advocates of this approach. The best way to stop this unrest is to help bring those nations into the global economy. And to do this we must focus on promoting free trade throughout the world.

Advocates of this approach agree with statements in the nation’s National Security Strategy. “If you can make something that others value, you should be able to sell it to them. If others make something that you value, you should be able to buy it. This is real freedom, the freedom for a person — or a nation — to make a living.”

A Worldwide Marketplace

The whole point of the global marketplace, say advocates of this approach, is that national boundaries, which may remain important politically, should become increasingly irrelevant economically.

In fact, the major players in this view of global enterprise are not governments and their leaders but multinational corporations. By the mid-1990s, the world’s 500 largest corporations accounted for 70 percent of the

What Needs to Be Done ?

Government Actions

- Make free trade the guiding principle in public policies and international agreements.
- Reduce or eliminate trade barriers whenever possible.
- Resist pressure to provide protection for specific industries that insist they will be hurt by global competition, or who argue that international competition is unfair.
- Support the World Trade Organization and other international groups designed to stabilize and regulate global markets.
- Provide additional resources to retrain and relocate workers who are displaced by foreign competition.

Citizen Actions

- Take part in international exchange programs designed to help people in many nations acquire entrepreneurial skills and business training.
- Broaden exchanges between American labor unions and labor groups abroad to help foreign workers defend their right to decent pay and working conditions.
- Support efforts to lower trade barriers, despite the job losses and short-term dislocations they cause.
- Support and participate in citizen actions to urge clothing manufacturers and other industries to not produce goods in sweatshops and ensure that goods shipped to the United States are made by manufacturers who pay decent wages to their workers.

world's trade. As advocates see it, their success contains the key to our success and will also

help developing nations become more prosperous. This is a win-win game.

Most Americans are becoming

aware that the global marketplace affects every one of us directly. When you go into a chain store in the local mall, you notice that most of the clothes are manufactured in places like Malaysia, Thailand, and Mexico. Clothes are cheaper than they would be if they were

made here in the United States, where labor and other production costs are higher.

This worldwide marketplace affects us just as directly in terms of what we export. Exports support 12 million American jobs, including one-in-five manufacturing jobs. And one-third of U.S. farmland is planted with crops for export.

Advocates point out that opening every nation's economic activities to the global marketplace encourages each country to specialize in whatever it can produce most efficiently. As long as no one nation tries to protect its own producers against global competition, buyers and sellers benefit. Buyers enjoy lower prices and a greater variety of goods. Sellers have access to a larger market for their goods. Everyone benefits from greater local specialization to fill larger markets. The end result is higher average wages and a higher standard of living.

A Long-Established Policy

Since World War II, the United States has joined with its allies in promoting such free trade. The expectation has been that economic growth would create wealth and, therefore, also improve social welfare. The moral basis of the concept of global free trade rested on the promise, as President Kennedy memorably put it, that "a rising tide lifts all the boats."

The United States has led the way in helping create the institutions necessary for the efficient operation of the entire system - the World Bank, the International Monetary Fund and, in 1995, the World Trade Organization, where no nation has veto power. Together, these organizations set the rules for world trade, act as an umpire to identify unfair practices, and provide a credit union on which nations can draw when they get into financial trouble.

As advocates of this approach see it, it is in our national interest to support the global economy. By assisting other countries in trade, investment, and technology transfer, we also help them to help themselves. So although the free-trade prescription for an American-led global economy has never appeared on any ballot as a choice for Americans to make, this has been one of our primary commitments for the past half-century. We have invited other nations to join in our game.

The United States has, in effect, posted an invitation to every nation in the world and



AP Photo/Richard Vogel

A Vietnamese cyclist rides past a giant billboard advertising the American computer company Compaq along a highway on the outskirts of Hanoi. The U.S./Vietnamese relations moved to a new level Wednesday with Senate approval of an agreement normalizing trade between the two former enemies.

attached certain rules. First, pay attention to fundamentals like good public education, a legal system that protects property rights, and sufficient investment in new technologies. Make it easy for foreign investors to come in and decide whether they want to invest. Dismantle barriers that protect local producers from international competition. Figure out what you can produce profitably in world markets. And then join the global economy and share its benefits.

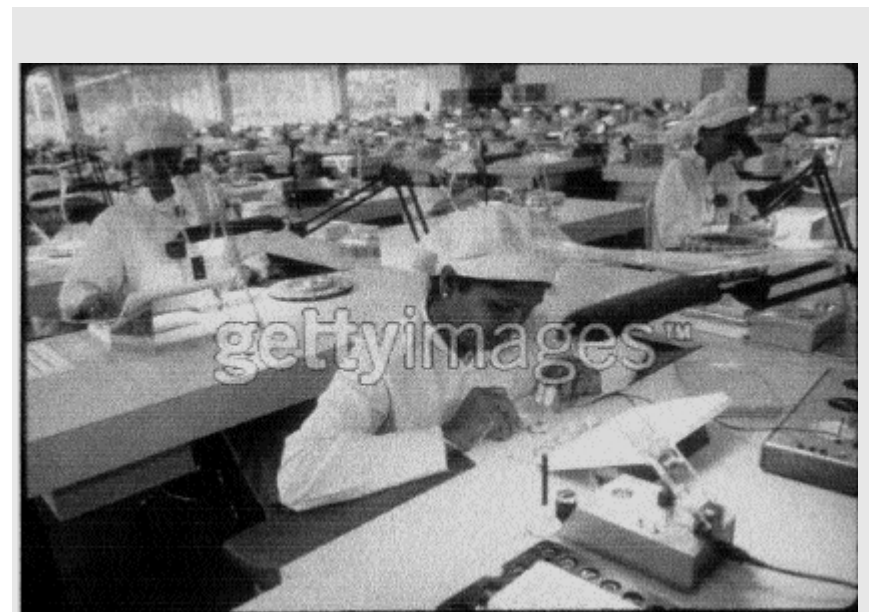
Successful Markets, Healthy Communities

Advocates of this approach believe that what half a century ago was a bold experiment is today a remarkable success story, and it deserves our continued commitment as a national priority. According to Cato Institute economist Stephen Moore, “The global capital market, which is a trillion dollars a year, a hundred times larger than the magnitude of foreign aid, is sort of the global policeman for good economic policies. That’s why foreign aid is at best an irrelevancy.”

Consider the “Asian tigers” — Hong Kong, Singapore, South Korea, and Taiwan. Early entrants in the post-World War II global economy, they pulled themselves out of poverty and today provide impressive evidence of the growth-enhancing effects of trade.

More recently, China’s experience shows that industry and economic growth can advance very rapidly, quickly improving the standard of living. After just a few decades of experience with simple assembly plants, China has recently made great strides in the areas of machinery and electronics. Mobilizing the energies of millions of engineers and scientists, it has become a major exporter of auto parts, telecommunications equipment, and computer parts. China is now exporting at a rate of more than \$250 billion a year — a large sum even for the largest nation in the world.

For another impressive example of the effects of globalization, look at the transformation of southern India in and around Bangalore, which has become that country’s Silicon Valley. Within a generation, newly developed skills in information technology have “made millionaires out of ordinary people here because of their brainpower alone — not caste, not land, not heredity,” says Sanjay Baru, editor of India’s Financial Express. In this region, hundreds of thousands of young Indians, most of them from lower mid-



Gettyimages/Pablo Bartholomew

dle-class families, now enjoy motor scooters, apartments, and social mobility.

Much the same thing is hoped for in Mexico, which has undergone rapid change since the signing in 1993 of NAFTA - the North American Free Trade Agreement. NAFTA signaled the start of a special trading relationship between the United States and its second-largest trading partner.

In one country after another, globalization has produced big gains for many factory laborers as well as entrepreneurs who have figured out how to create successful businesses in formerly stagnant economies. The result is not just growing prosperity but other changes that most Americans applaud. As New York Times columnist Thomas Friedman points out, countries that are entering the global marketplace are also the ones that are “becoming politically more open, with more opportunities for their people, and with a young generation more interested in joining the world system than blowing it up.”

Throughout the developing world, wherever trade has substantially expanded, it has improved not only the economic

Titan Watch workers assemble watches in bangalore, india. Bangalore, housing over 6 million people with a thriving business center, is considered the IT capital of India and often called the “Silicon Valley of India” because of the high concentration of software technology-related activity.





AP Photo/James Finley

Debbie Kellogg, right, a school teacher, and Russ Leavitt, a UAW employee, express their opinion of the proposed North American Free Trade Agreement...

situation but political and social conditions as well. Trade binds individuals and nations together through the peaceful exchange of goods, ideas, and financial capital. Robert Zoellick, U.S. trade representative, says, "Trade is about more than economic efficiency; it reflects a system of values: openness, appreciation of differences, opportunity . . . freedom of choice . . . and a hope for betterment for all peoples and lands."

Tradeoffs

Proponents of this approach acknowledge that moving into the global marketplace can create problems. Rapid change breeds insecurity. For many, it triggers a sense that their lives are controlled by distant forces that they can neither understand nor influence.

Certainly, the global marketplace favors certain kinds of people - those who take up the challenge of new situations and a more competitive environment, as well as people who are well educated and willing to move to take advantage of new opportunities. For those who are not, the economic effects of globalization can seem a frontal assault on familiar patterns of life and long-established ways of earning a living.

One of the biggest threats to free trade, in fact, is the impulse to protect potential losers. Especially when economic circumstances are uncertain, pressure to resist opening markets can be fierce. In 1998, a majority of the U.S. Con-

gress refused to approve the expansion of NAFTA to Chile, a relatively small economic power, because of concern that Chilean manufacturing would threaten American jobs.

In one industry after another, liberal trade policies have caused wrenching dislocations for American workers. In some cases, entire communities have been disrupted. Thousands of people are out of jobs when foreign competition and cheap goods from abroad shut down U.S. plants. Advocates of free trade say these are short-term costs we must pay for the long-term benefits of greater growth.

Both here and abroad, some people are also concerned that globalization leads to the "McDonaldization" of the world, a standardization that wipes out regional flavors and local preferences. Nonetheless, they are distinctively American values that are encouraged by the movement toward a single world market - flexibility, the willingness to do new things, tolerance for what is different. These are our values, say those who explain this approach, and we have every right to affirm them and persuade the rest of the world to share them.

Opposing Voices

There are different interpretations of how global dynamics work and who benefits from them. As advocates see it, thanks to Nike, Microsoft, Citigroup, and hundreds of other corporate players, the global economy is growing into a worldwide net that will eventually lift almost everyone, including those who are still impoverished. Critics see a different story, one in which ordinary people are increasingly at the mercy of global corporations prepared to do whatever is necessary to increase their profits.

A world dominated by global corporations that are focused on maximizing profit is unfair and hostile to the interests of most people, both in this country and abroad, say critics of this approach. Many multinational corporations have more resources than the nations in which they operate. For all of the claims about how global markets "help other countries to help themselves," say some critics, the push for free trade amounts to an excuse for U.S.-based multinational firms to expand their markets and profits.

At its core, say these critics, the argument for global capitalism is about our imperial reach for ever-larger markets. It also shows an arrogant

presumption that the American economic traditions and way of life ought to be welcome worldwide, regardless of its negative effect on traditional cultures.

What Markets Can't Do

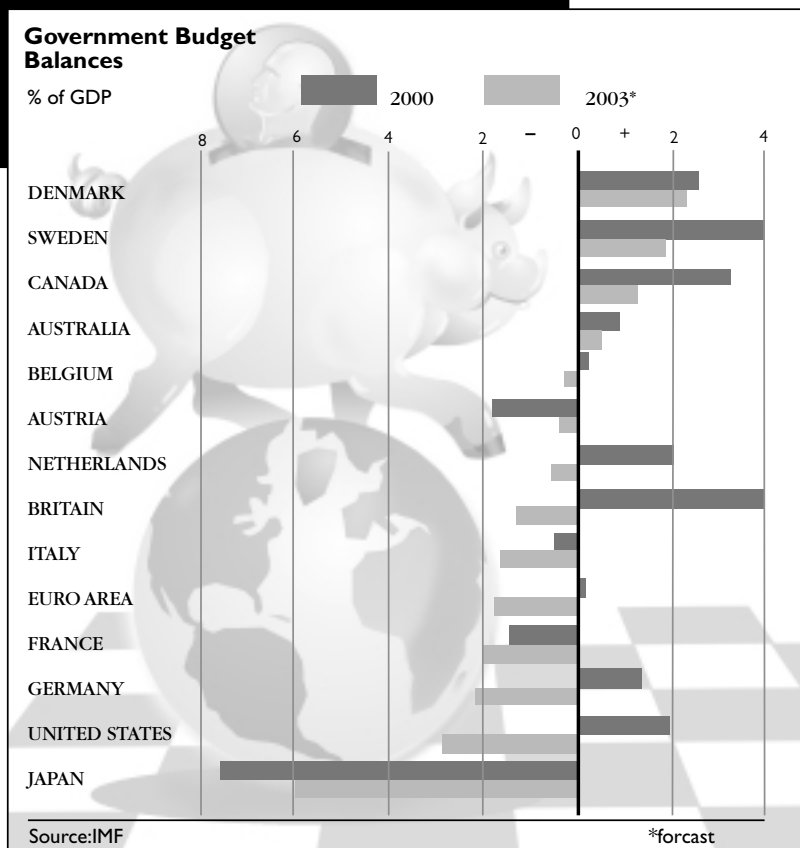
To critics, it is readily apparent that the “rising tide” from a global marketplace is never going to lift some boats - in fact, a great many boats. This is not, as advocates say, a win-win game. Like most high-stakes games, there are winners and losers. And there are many developing nations that, without outside assistance, don't have what it takes to enter the game.

Some countries already committed to the free trade movement have growing concerns. According to the New York Times, Mexican officials fear NAFTA will drive more migrant workers to try to illegally enter the United States, many of them likely to suffer terrible deaths in the process. As provisions of NAFTA take effect, Mexico must end import duties on heavily subsidized American farm products. This lets American farm products into Mexico at much cheaper rates, and Mexican officials warn that the end of import duties may spell ruin for millions of Mexican farmers — driving them to go North seeking money and food for their families.

Critics also are concerned that many U.S. companies have allowed human rights abuses in the manufacture of their goods in other countries that would not be tolerated in this country and should be intolerable to Americans wherever they happen. We may not agree in other respects about America's global role, say critics of this approach, but surely we can agree on this: America's prosperity should not be gained at the price of others' human rights.

A crucial question is whether a world in which most decisions are made by markets is a world in which most of us would want to live. The answer quite clearly, say opponents of this approach, is that it is not. The gap between rich and poor, both among and within nations, remains the most glaring evidence of what the global economy has been unable to achieve. For the world as a whole, according to the United Nations, the richest 1 percent of the population has as much income as the poorest 57 percent. In the United States, per capita income is 60 times greater than per capita income in the 10 poorest countries.

The World Bank acknowledges that several



decades of globalization have increased the gap between rich and poor. Tensions between rich and poor run high, both within nations and among them, feeding unrest, discontent, and terrorist acts of reprisal.

That trend toward the richer becoming richer while the poorer get poorer has ominous implications. As former Secretary of State Henry Kissinger comments, “A permanent worldwide underclass is in danger of emerging, especially in developing countries, making it increasingly difficult to build the political consensus on which domestic stability, international peace, and globalization itself depend.”